

	MIDTERM EXAMINATION FALL 2006 ACC501 - BUSINESS FINANCE (Session - 3)	Marks: 40 Time: 60min
StudentID/LoginID: _____ Student Name: _____ Center Name/Code: _____ Exam Date: Wednesday, December 06, 2006		
Please read the following instructions carefully before attempting any question: • All questions are compulsory. • This exam consists of 10 Multiple Choice Questions (MCQ's), 5 Fill in the Blanks, 5 Short Questions and 1 Numerical Question. • You should try to complete MCQ's in 10 - 15 minutes in order to avail 75 - 80 minutes for the Numerical question. • For each MCQ, read the choices available carefully and select the choice which you consider is the most suitable, by clicking on the appropriate circle. • Save your answer before proceeding to the next question. • Do not click the "Finish button" while solving your paper. Once you clicked the "Finish" button, you will not be able to access your paper again. <i>Click it only at the end after attempting the whole paper, which will be an indication that you have submitted your complete paper.</i> • You are required to show all the working of short questions as well as numerical question in your answers. • The use of calculator and financial tables is allowed.		

- A clock has been given in the exam software. Software will automatically be closed after 90 minutes.
- It is your responsibility to manage time and responses to test questions effectively.
- Failure to comply with the supervisor's directions will result in your test being cancelled. Please comply with supervisor's directions to avoid any unpleasant event.

For Teacher's use only											
Question Marks	1	2	3	4	5	6	7	8	9	10	Total
Question Marks	11	12	13	14	15	16	17	18	19	20	
Question Marks	21										

Question No: 1 (Marks: 1) - Please choose one

A major disadvantage of the corporate form of organization is the _____.

- ▶ Inability of the firm to raise large sums of additional capital
- ▶ Double taxation of dividends
- ▶ Limited liability of shareholders
- ▶ Limited life of the corporate firm

Question No: 2 (Marks: 1) - Please choose one

Which one of the following current asset is not treated as a cash flow from operating activities?

- ▶ Trade receivable

- ▶ Cash and cash equivalent
- ▶ Inventory
- ▶ Short term investment

Question No: 3 (Marks: 1) - Please choose one

Suppose you can earn a 7.2 percent interest rate per year. According to the rule of 72, it will take approximately _____ years to double your money.

- ▶ 5.00
- ▶ 7.20
- ▶ 10.00
- ▶ 100.0

Question No: 4 (Marks: 1) - Please choose one

Rahim Corporation has a cash coverage ratio of 7 times. It's earning before interest and tax is Rs.900 million. It has total assets of Rs.3 billion. The company has a policy of charging 5 % annual depreciation. By using the above information, what would be the interest expense for the year?

- ▶ 90 million
- ▶ 120 million
- ▶ 140 million
- ▶ 150 million

Question No: 5 (Marks: 1) - Please choose one

Suppose ZM Corporation has a debt to equity ratio of 1.50 times. It has the return on assets of 14%. The return on equity would be _____.

- ▶ 25%

▶ 30%

▶ 35%

▶ 40%

Question No: 6 (Marks: 1) - Please choose one

Lets Tulips Corporation has return on assets for the year is 14 % .The Corporation has a policy to retain 40 percent of their income. Then the Corporations internal growth rate would be _____.

▶ 5.246 %

▶ 5.754 %

▶ 5.932 %

▶ 6.589 %

Question No: 7 (Marks: 1) - Please choose one

If the interest rate is 24 % compounded quarterly, what would be the 5-year discount factor?

▶ 3.10585

▶ 3.20714

▶ 3.50152

▶ 3.80153

Question No: 8 (Marks: 1) - Please choose one

Suppose you expect to receive Rs.3,000 per year forever. The opportunity rate is 12 % .The present value of this would be _____.

▶ Rs.20,000

▶ Rs.23,000

▶ Rs.25,000

▶ Rs.28,000

Question No: 9 (Marks: 1) - Please choose one

The bonds are classified as _____ if the maturity of the bond is less than 10 years when issued.

▶ Term finance certificate

▶ Debentures

▶ Notes

▶ None of the given options

Question No: 10 (Marks: 1) - Please choose one

_____ is a kind of bond that allows the holder to force the issuer to buy the bond back at a stated price.

▶ Convertible bond

▶ Floating rate bond

▶ Income bond

▶ Put bond

Question No: 11 (Marks: 1)
A _____ is responsible for managing cash and raising finances for the business.
Question No: 12 (Marks: 1)
Current ratio and quick ratio of a firm will be equal if its current assets do not contain _____.
Question No: 13 (Marks: 1)
Coupon rate has a floor and a ceiling. These upper and lower rates are also called _____.
Question No: 14 (Marks: 1)
_____ is that part of the indenture or loan agreement that limits certain actions which a company might wish to take during the term of the loan.
Question No: 15 (Marks: 1)
The relationship between the real and nominal returns is described by the _____.
Question No: 16 (Marks: 3)
Discuss the significance of financial statements.
Question No: 17 (Marks: 3)
What is underwriting contract? Discuss in detail.
Question No: 18 (Marks: 3)
How much an investor has to invest a lump sum amount in order to have Rs.3 million in 20 years from now if the rate of interest is 16 % compounded quarterly?
Question No: 19 (Marks: 3)
Draw a time line for the annuity due of Rs.900 for 6 years. Also, describe the relationship between an ordinary annuity and annuity due with the help of equation.
Question No: 20 (Marks: 3)
Mr. Martin is considering the purchase of land for Rs.650, 000, which may be sold for Rs.850, 000 in 7 years. If the discount rate is 16% compounded quarterly, will this be a good investment?

Question No: 21 (Marks: 10)

Mr. Imran has Rs.150, 000 in cash that he can deposit in any of four savings accounts in four different banks for a 7 year period. Bank A compounds interest on an annual basis; Bank B compounds interest twice each year; Bank C compounds interest each quarter and Bank D compounds interest on daily basis. All four banks have a stated annual interest rate of 12%.

Required:

- a. What amount would Mr. Imran have at the end of 7th year in each bank?
- b. What effective annual interest rate would he earn in each of the four banks?
- c. On the basis of your findings in a and b, which bank should Mr. Imran deal with? and Why?